

EGYPTIAN CHEMICAL INDUSTRIES (KIMA)

Egyptian Exchange: EGCH · Aswan, Egypt · Nitrogen fertilizers and industrial chemicals
Valuation study — 8 August 2026 · Reporting and valuation currency: Egyptian pounds

1. Read first

What this document is. An independent valuation of a single-site Egyptian nitrogen-fertilizer producer, built from the company's own audited financial statements and its reviewed interim accounts. It reports a range of fair values and the reasoning behind them.

What it is not. It is not a rating, and it contains no price target. It does not tell the reader what to do.

How to read the range. Four states of the world are valued separately rather than blended into one number: what happens if the company completes the capital programme it has committed to, what happens if that programme earns nothing, what happens if fertilizer prices hold near today's level, and what the company would be worth if the programme stopped. The distance between them is the study's real content.

The one thing to know before any number. This company is building a nitric-acid and ammonium-nitrate complex whose bank-approved cost is about three quarters of its own stock-market value, and at the last reported date it was 12.9% built against a plan of 37%. Almost everything in this valuation follows from that fact.

Sources. Every historical figure traces to the company's own issued statements, obtained from its investor-relations channel: four audited financial years to 30 June 2025 and three reviewed interim periods of the year to 30 June 2026. No data aggregator, broker note or press report is used as a source for any figure the company itself reports; where such material appears it is a cross-check and is labelled as one. A separate bibliography document lists every source with its date.

Six clauses the reader is entitled to. (i) This is an educational analysis, not investment advice. (ii) It is a point-in-time view taken at the 6 August 2026 closing price of EGP 13.98 and it will age. (iii) The author holds no position and receives no compensation from the subject. (iv) Fertilizer prices and the Egyptian pound are both volatile, and either can move the conclusion. (v) The forecast rests on judgements that are stated and sensitised, not hidden. (vi) A reader who disagrees with the crux inputs should read a different cell of the sensitivity grid rather than a different document.

2. Summary of conclusions

The fair-value range sits far below the traded price, and the gap is not a rounding difference. Three separate things push in the same direction: an EGP 20.3 billion capital programme running two years behind its own plan, an almost entirely dollar-denominated debt book against an earnings stream that has to service it in pounds, and a cost of capital that any construction anchored to Egypt's sovereign risk produces at the mid-twenties.

Summary valuation table

Case	What it assumes	Enterprise value (EGP m)	Terminal value % of EV	Equity value (EGP m)	Per share (EGP)
Capital discipline	The programme is stopped, the urea plant runs as it is	10,853	34.1%	4,358	2.19
Upside	Urea holds near today's level; the new plant reaches 70%	8,338	83.4%	1,843	0.93
Committed capital	The programme completes; the new plant reaches half	3,906	113.7%	-2,589	-1.30
Downside	The money is spent, the plant never earns, gas at contract price	-215	-1042.7%	-6,709	-3.38

Fair-value range: EGP 0.00 to EGP 2.19 per share, against a traded price of EGP 13.98. The lower bound is floored at zero because a shareholder with limited liability cannot be worth less than nothing; the arithmetic produces a negative equity value in two of the four cases, and that is stated rather than clipped away quietly.

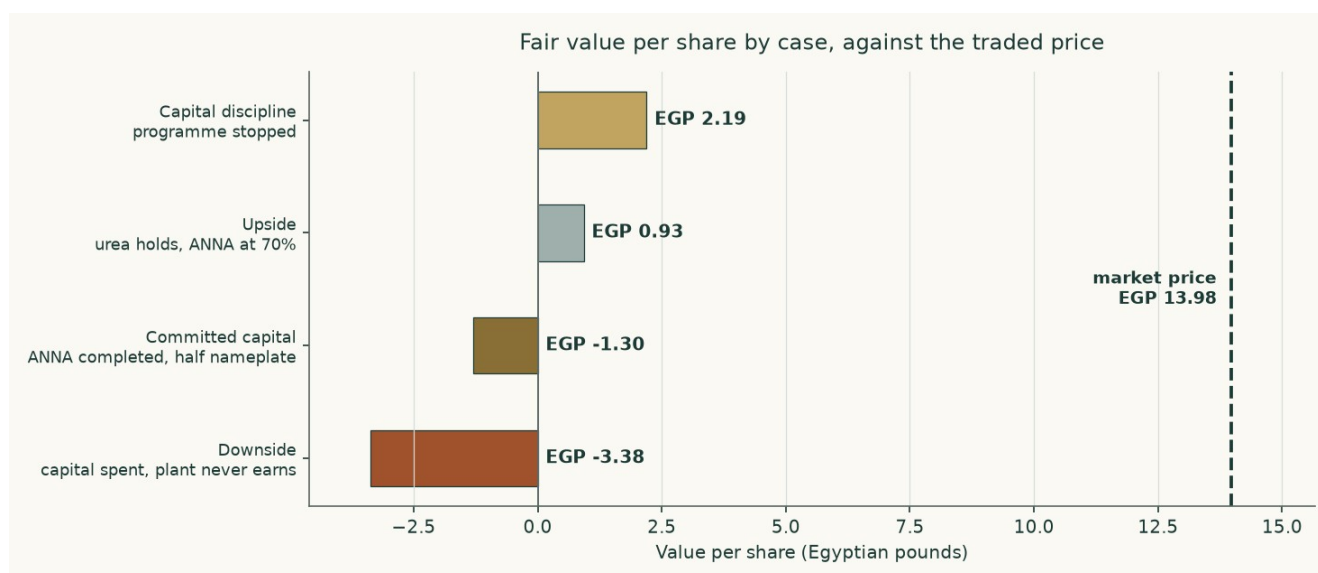


Figure 1. Fair value per share in each case, against the 6 August 2026 close. Two of the four cases produce a negative equity value: the enterprise does not cover its net debt.

Terminal value carries 113.7% of enterprise value in the committed-capital case and 34.1% if the programme stops. The first figure exceeds one hundred per cent, and that is not an error: the five explicit years contribute a NEGATIVE EGP 534 million, because the capital programme absorbs more cash than the plant generates, so the terminal block has to carry the whole enterprise value and then some. The difference between the two figures is the clearest single statement of what the programme does: it moves the company's worth out of the years a reader can check and into the years they cannot.

What the market price implies

Rather than assert that the market is wrong, the model is run backwards. Holding the same operating forecast, the traded price of EGP 13.98 is reproduced only at a flat nominal discount rate of about 10.0% on the committed-capital case, or 10.5% if the programme stops. Egypt's own ten-year government bond yielded 23.0% on the same day. A required return on a leveraged industrial equity that sits roughly thirteen percentage points below its sovereign's

borrowing cost is not a rate any cost-of-capital construction produces. Either the market is discounting cash flows this study cannot see, or it is not discounting them at all.

The programme itself is measurable. The capital-discipline case is worth EGP 3.50 per share more than the committed-capital case. On the model's own assumptions the project consumes about EGP 6.9 billion of shareholder value against the alternative of not building it.

3. The business, and why the lens follows from it

Egyptian Chemical Industries, universally called KIMA, was founded in 1956 and has made nitrogen fertilizer at Aswan ever since. It is 69.8% owned by the state-controlled Chemical Industries Holding Company, with public-sector insurance funds and Banque Misr holding most of the rest; the free float is about 6.2%. Its accounts are audited by Egypt's Central Auditing Organization.

Revenue mix and balance-sheet shape decide the lens

The classification matters more than any other judgement in this document, because it determines the entire method. The audited revenue note for the year to 30 June 2025 splits EGP 8,602.6 million into EGP 6,608.8 million of exports and EGP 1,993.8 million of local sales, with EGP 4.4 million of services. There is no lending book, no investment-property rental business of any size, and no fee stream. The balance sheet is dominated by EGP 13.6 billion of net fixed assets and EGP 5.7 billion of construction in progress. This is an operating company that converts natural gas into nitrogen products and sells them by the tonne.

The lens follows: a discounted-cash-flow valuation of free cash flow to the firm, built from a driver tree of volumes and prices, with the enterprise value bridged to equity through net debt and the non-operating assets. A sum-of-the-parts would have nothing to add up; a dividend model would have nothing to discount, since no dividend has been paid in either of the last two years.

What it actually makes

Product	FY2024/25 output (t)	Unit cost (EGP/t)	Role
Urea, 46.5% nitrogen	513,385	7,509	The business: sold subsidised, on the local free market and for export
Liquid ammonia	318,242	9,114	Feedstock for urea; a small merchant volume is exported
Granulated 33.5% nitrate	17,887	4,076	Small nitrate leg
Low-density ammonium nitrate	8,171	8,154	Small nitrate leg
Nitric acid	35,590	610	Intermediate
Ferrosilicon	nil	n/a	Furnace idle since 2019; leased to a tenant from May 2025, so it is now rent

Table 1. Production and unit costs as disclosed in the auditor's own cost table for the year ended 30 June 2025. Ammonia is consumed by urea rather than sold, which is why the surplus over urea's draw is what the new plant is built to use.

4. The operating environment

Gas is the input, and Egypt is short of it

A nitrogen plant is a machine for turning natural gas into ammonia and ammonia into urea. Gas is roughly three quarters of the materials bill. Egypt has been rationing industrial gas since Israeli export flows were interrupted, prioritising households and power, and fertilizer producers have been curtailed by as much as half in successive summers. The cost of that shows in the accounts rather than in commentary: EGP 152.7 million of factory-stoppage cost in the year to June 2024 and EGP 164.5 million in the year to June 2025, with abnormal gas losses of roughly EGP 781 million cumulatively since July 2022. In the first quarter of the current year the company burned 31.3 million cubic metres it could not convert, and in August 2025 its consumption ran at 8,492 cubic metres per tonne against a standard of 1,200, because the plant was idling and restarting rather than producing.

The output price is administered at home and global abroad

Egyptian nitrogen producers sell into a three-tier price system. A cabinet decision of November 2021 required 55% of output to go to the subsidised agricultural system and 10% to the local free market, capping exports at 35%, with an export levy of EGP 2,500 a tonne on any shortfall. KIMA delivered 147 thousand tonnes of a 322 thousand tonne requirement in the fourteen months to August 2025 and was charged EGP 437.5 million. A further cabinet decision in September 2025 cut the obligation and lifted the industry's export share to about 53%, and during 2026 the shortfall levy was replaced by a 10% duty tied to the global price. The subsidised price is about EGP 6,000 a tonne. The export price is whatever the world pays: US\$385 a tonne realised in the year to June 2025, and US\$545 on the granular free-on-board Egypt contract on 7 August 2026.

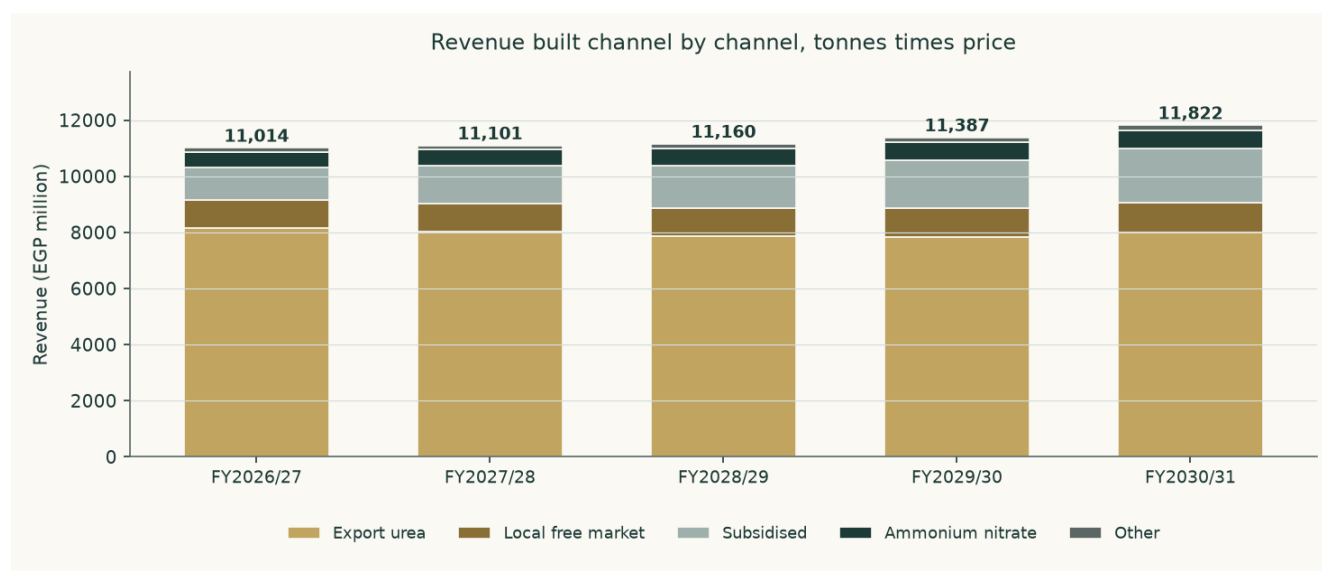


Figure 2. Revenue built channel by channel. Each block is tonnes multiplied by that channel's own price; nothing is a blended average.

5. The historical record

EGP million	FY2022/23	FY2023/24	FY2024/25	FY2025/26E
Revenue	6,612	6,532	8,603	10,379
Cost of sales	3,574	4,396	5,300	5,825
Gross profit	3,038	2,136	3,302	4,554
Selling and distribution	474	563	786	980
Administrative	189	298	360	365
EBIT before provisions, currency and other items	2,375	1,276	2,156	3,209

Depreciation and amortisation	719	773	891	891
EBITDA	3,094	2,049	3,047	4,099
Gross margin	45.9%	32.7%	38.4%	43.9%
EBITDA margin	46.8%	31.4%	35.4%	39.5%
Net profit as reported	1,151	2,538	987	531

Table 2. Three audited years and the current year's estimate. The EBIT line is struck before provisions, currency translation and other income and expense, so it is a cleaner measure of trading than the statements' own operating result, which mixes all three in; every component of it is as issued. Depreciation for FY2024/25 is the disclosed charge of EGP 771.2 million plus EGP 119.4 million of amortisation; for the two earlier years only the depreciation inside cost of sales is separately disclosed, so the amortisation element is a modelled estimate and is flagged here rather than presented as reported. FY2025/26 is nine months reviewed plus a fourth quarter run-rated on the third quarter's operating performance, with the translation line set to zero.

Two things in that table need saying plainly. The reported net profit of EGP 2,537.9 million in FY2023/24 includes EGP 2,034.6 million of one-off investment-property revaluation gain; the underlying figure is about EGP 503 million, and every margin and return in this study uses the underlying number. And the nine-month net profit of EGP 531.3 million in the current year is struck after a EGP 1,072.0 million foreign-exchange loss on dollar debt, of which EGP 1,455.9 million fell in the third quarter alone as the pound moved from about 47 to about 50.4. Operationally that quarter was the best the company has ever had: EGP 3,158.6 million of revenue at a 46.3% gross margin. The two facts sit in the same quarter and both are true.

The balance sheet

EGP million	30 Jun 2024	30 Jun 2025	31 Mar 2026
Net fixed assets	14,144	13,587	13,058
Construction in progress	2,535	3,790	5,654
Investment property and listed stakes	4,526	4,324	3,538
Inventory and receivables	2,474	3,031	4,608
Cash	3,103	3,057	4,607
Total assets	29,161	30,048	33,637
Gross interest-bearing debt	11,580	12,178	14,639
Net debt	8,477	9,121	10,032
Equity	14,560	15,363	16,206

Table 3. The construction line and the debt line rise together, which is the same fact seen from two sides.

6. How the forecast is built

Revenue is tonnes multiplied by price, channel by channel. Cost is physical consumption multiplied by a unit price. Each cost class escalates on its own driver and never on a single blended index: gas is a globally traded input and escalates on its dollar price through the exchange rate, while wages, inland haulage and administration escalate on Egyptian consumer prices, and the subsidised price follows its own administered path.

Driver	Basis	FY2026/27	FY2030/31
Urea output (tonnes)	Design plate 574,875 t; utilisation banded by gas availability	524,861	544,982
Export price (US\$/t)	US\$385 realised FY2024/25; US\$545 spot; mean reversion	530	440

Exchange rate (EGP/US\$)	49.79 spot, depreciating 4.5% a year	51.90	61.90
Subsidised price (EGP/t)	EGP 6,000 cooperative supply price, administered path	7,526	10,915
Gas (EGP per cubic metre)	US\$4.68/mmBtu realised, through the exchange rate	8.58	10.23
Egyptian inflation	14.3% June 2026, converging on the 7% target	10.0%	7.0%

Table 4. The drivers that move the answer, each with the evidence it rests on.

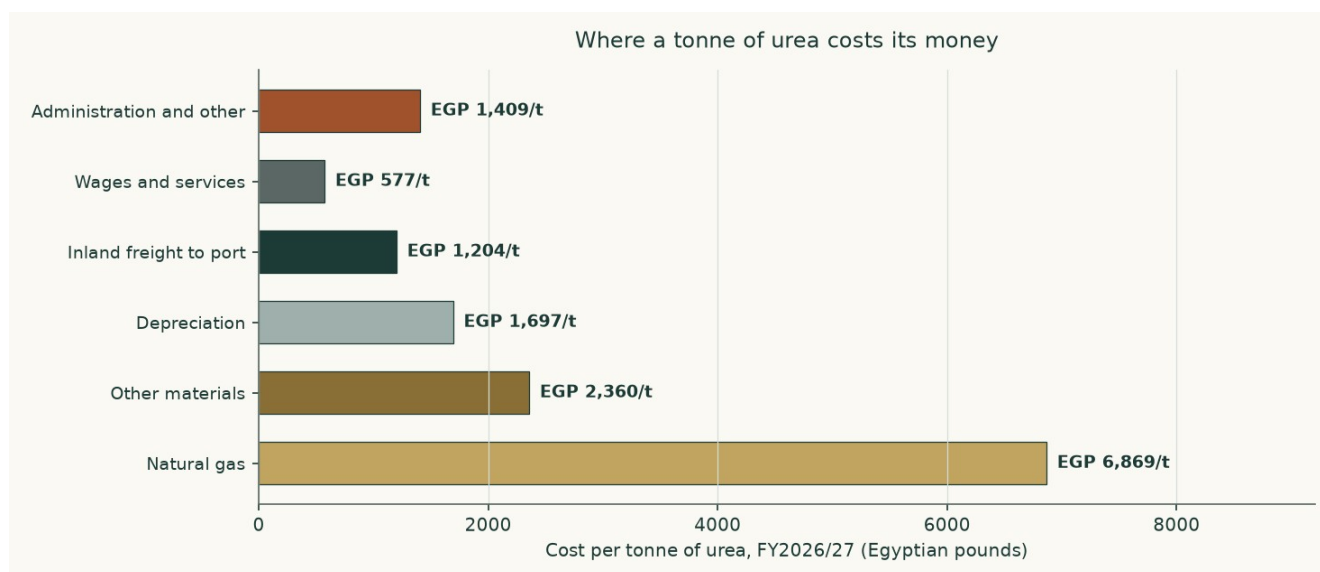


Figure 3. Where a tonne of urea costs its money in FY2026/27. Gas dominates, which is why the gas price and the consumption rate are the two cost inputs that the sensitivity grid treats as crux variables.

One flag, stated rather than buried. The audited statements give a single materials line of EGP 4,398.6 million and do not split it between gas and everything else. The model sets gas at 1,292 cubic metres per tonne of ammonia — inside the auditor's own disclosed range of 1,025 to 1,771 — which makes gas about three quarters of that line. The split is the model's, not the company's, and it is the single largest modelled allocation in this study.

7. The cost of capital

The cost of capital is built rather than assumed, and it is built twice, on the two bases the underlying country data supports. Sovereign risk enters exactly once: the local government bond yield is reduced by Egypt's own default spread before a country-loaded equity premium is added back, because charging the same risk in both places would double-count it.

Component	Rating basis	CDS basis	Source
Local ten-year government yield	23.00%	23.00%	Market quote, 6 August 2026
Less sovereign default spread	6.37%	3.55%	Country-premium workbook, Egypt row
Normalised risk-free rate	16.63%	19.45%	Built, not quoted
Equity risk premium	13.94%	9.42%	Mature-market premium plus Egypt country premium
Beta	1.053	1.053	Own-stock weekly regression, 257 observations, R-squared 0.283
Cost of equity	31.30%	29.37%	

Cost of debt, after tax	12.97%	12.97%	99.7% dollar, carried at local-equivalent cost
Weights (equity / debt)	65% / 35%	65% / 35%	Market-value equity
WACC, year one	24.97%	23.71%	The rating basis is carried into the valuation

Table 5. Both premium bases are published and neither is mixed with the other's risk-free rate.

The debt deserves its own sentence. The pound tranche of the KIMA-2 facility was repaid in June 2024, so 99.7% of the book is dollar-denominated. A dollar coupon cannot be dropped into a cost of capital denominated in pounds: the company earns pounds and has to buy dollars to service it. The dollar cost of about 11.7%, derived from the EGP 1,338.0 million of interest the FY2024/25 accounts actually charged, is therefore grossed up by a 4.5% expected depreciation to a local-equivalent 16.7% — and the same 4.5% wedge drives the exchange-rate path in the revenue build, so the two cannot quietly disagree with each other.

The glide, and the terminal rate

A spot cost of capital embeds today's 14.3% inflation in every future year, while the terminal value grows at the central bank's 7% target. Capitalising one at the other is a units mismatch, and on a company whose value sits in its terminal year it would be the largest error in the study. The rate therefore glides from the spot build to a terminal rate assembled from its own long-run components — 7% inflation compounded with a 3.5% real rate gives a normalised risk-free rate of 10.75%, and the terminal cost of capital is 20.36%. The discount factors compound the glide year by year rather than raising one rate to a power.

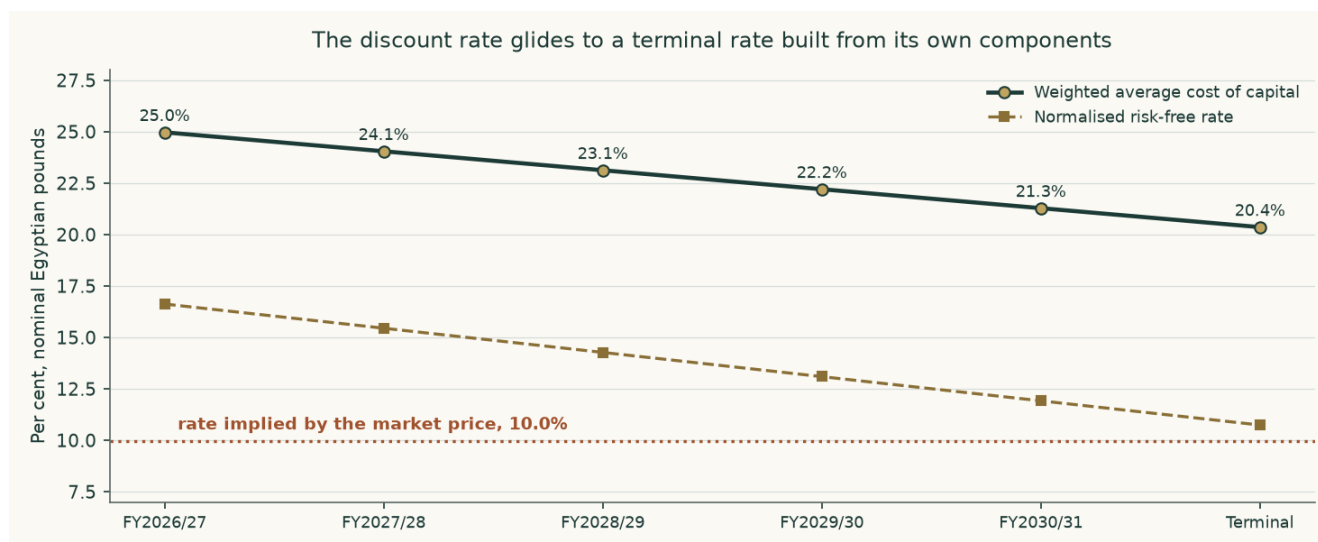


Figure 4. The discount rate glides from its spot build to a terminal rate made from its own parts. The dotted line is the rate the traded price implies.

8. Discounted cash flow

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,014	11,101	11,160	11,387	11,822
EBITDA	4,495	4,169	3,803	3,582	3,534
Depreciation and amortisation	891	906	921	937	952
EBIT	3,605	3,263	2,881	2,645	2,582
NOPAT (EBIT after tax)	2,794	2,529	2,233	2,050	2,001
Add back depreciation	891	906	921	937	952

Less capital expenditure	-3,330	-3,833	-3,835	-3,342	-2,355
Less change in working capital	-94	-87	-86	-101	-123
Free cash flow to the firm	259	-485	-766	-456	475
Discount factor	0.8002	0.6450	0.5239	0.4287	0.3534
Present value of free cash flow	208	-313	-402	-195	168

Table 6. The full waterfall for the committed-capital case, from EBITDA through to the present value of free cash flow to the firm.

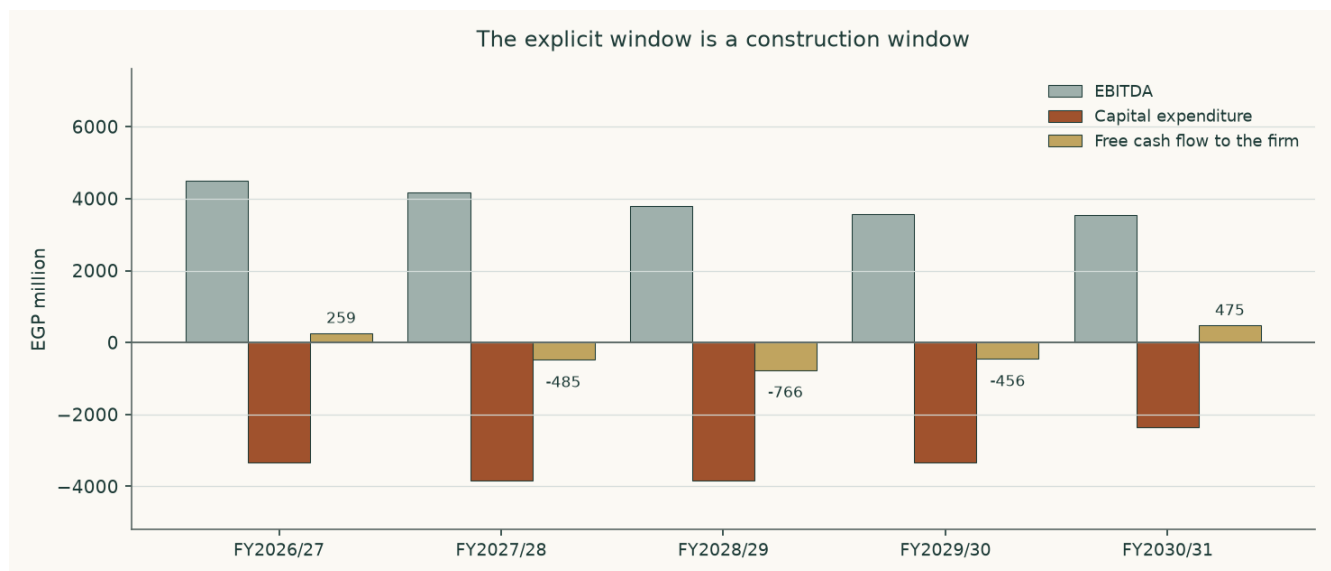


Figure 5. EBITDA is healthy throughout and free cash flow is not, because the capital programme absorbs it. This is the study in one picture.

Enterprise value to equity

Component	EGP million	Note
Present value of the explicit window	-534	Five years, discounted on the glide
Present value of the terminal value	4,440	Capitalised at 20.36% against 7.0% growth
Enterprise value	3,906	
Terminal value as a share of enterprise value	113.7%	Shown because it is the number that decides the answer
Less net debt	-10,032	31 March 2026, gross debt less cash
Plus listed equity stakes at market	1,383	Remaining holdings after the partial sale
Plus investment property	2,155	Carried at the revalued amount
Equity value	-2,589	
Value per share	-1.30	Against a traded price of EGP 13.98

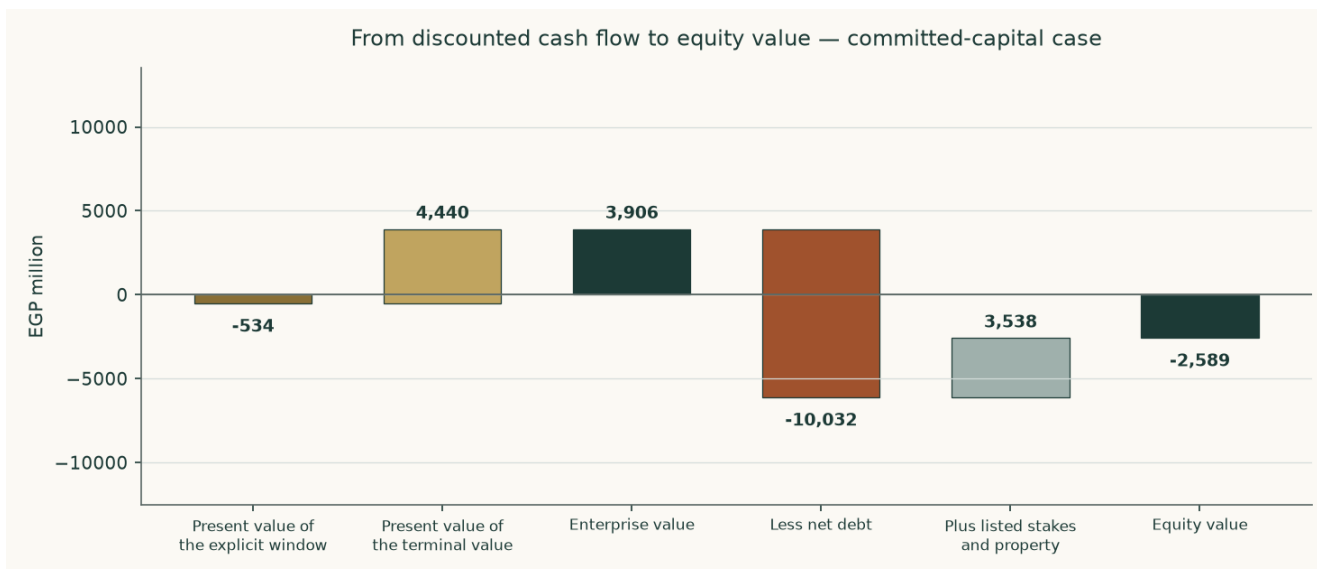


Figure 6. The bridge from discounted cash flow to equity value. Net debt of EGP 10,032 million is larger than the enterprise value the cash flows support.

9. The crux, sensitised in observable units

Two inputs decide this valuation, and both are observable rather than matters of opinion. The first is the long-run export price of granular urea free on board an Egyptian port, which prints daily on a listed futures contract. The second is the rate at which a perpetuity of Egyptian pounds is capitalised, which can be read against the sovereign's own borrowing cost. The grid below is a falsification test: a reader who believes urea holds above US\$540 a tonne for a decade, or that Egyptian equity risk clears below its sovereign, is reading a different cell rather than disagreeing with the arithmetic.

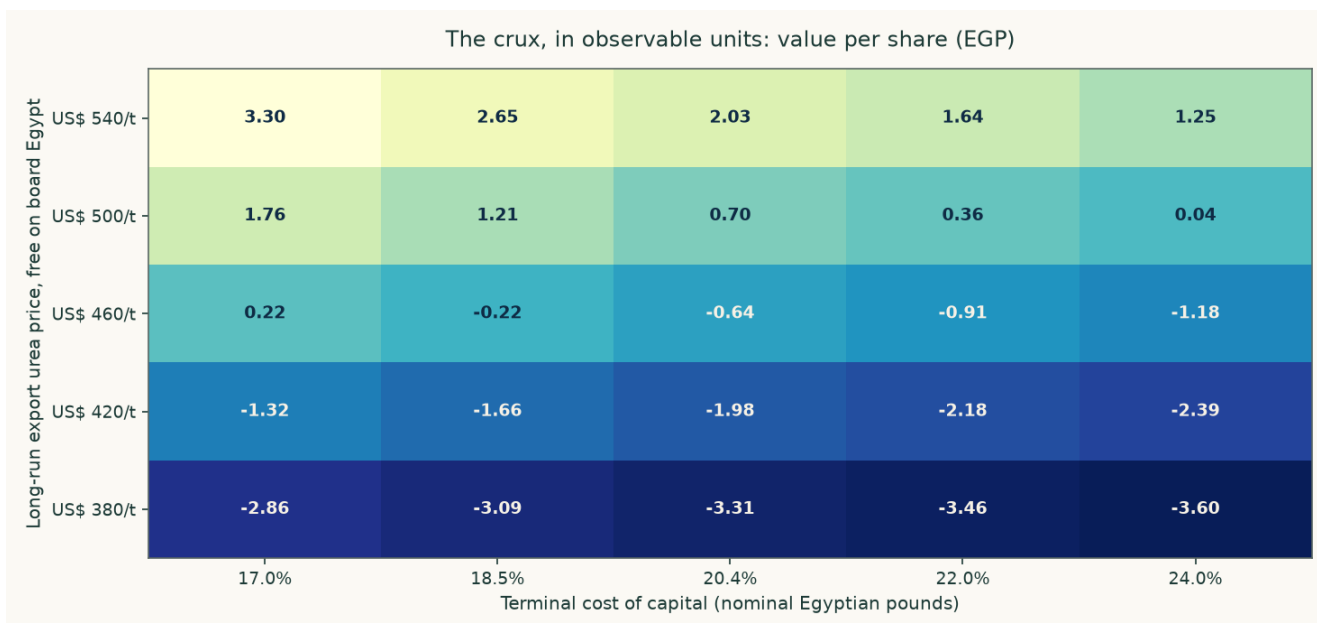


Figure 7. Value per share across the two inputs that decide it. Every cell is a complete revaluation, not an interpolation.

The grid also shows what it would take to reach the traded price of EGP 13.98: nothing in it does. The highest cell in the plausible quadrant is EGP 3.30. Reaching the market price requires leaving the grid altogether, which is what the reverse discounted-cash-flow calculation in section 2 does explicitly.

10. What would change this view

- **Capacity disclosure.** A firm, dated disclosure of the new plant's nameplate capacity and its commissioning schedule. The capacity used here is derived from the ammonia design plate because no filing states it, and it is flagged throughout as derived.
- **Execution.** Physical progress moving back toward plan. Progress ran 12.9% against a 37% plan at September 2025; a reported figure near plan would materially raise the terminal contribution and shorten the construction window.
- **Gas.** A structural fix to industrial gas supply. Every tonne the plant does not make is a tonne of fixed cost with no revenue against it, and the stoppage cost is disclosed each year.
- **Price regime.** A move in the export price that the market treats as permanent rather than as a war premium. The study assumes mean reversion; a decade above US\$540 is a different company.
- **Currency.** Refinancing the dollar debt into pounds, or a genuine slowing of depreciation. The translation line has swung the reported result by more than a billion pounds in a single quarter.

11. Risks the reader should weigh

The auditor's reports on these statements are unusually long and carry a formal basis for qualification in every year examined. They are not boilerplate and they are part of the evidence. Among the findings: fixed assets whose useful lives and residual values have not been reassessed as the standard requires; inventory whose slow-moving provision the auditor could not satisfy itself was sufficient; a shortfall of 1,648 tonnes of urea between the warehouse records and the physical count at Damietta; supplier and customer balances not confirmed; and, on the capital programme, a holding-company committee finding of severe deficiencies in the award process. In the current year the auditor also noted that the company expensed EGP 197.8 million of exchange differences on the project loan which the standard would have permitted it to capitalise, and that its listed stake had not been re-marked since September 2025.

The concentration risks are equally plain. One product, one site, one feedstock, one regulator setting the domestic price and the export cap, and a single offtake agreement covering roughly two thirds of production. A 6.2% free float means the traded price is set by a thin market, which is worth remembering when comparing it with any valuation.

12. A cross-check from a different direction

A discounted cash flow can be wrong in ways that are invisible from inside it, so it is worth asking what multiple the answer implies and whether a peer supports it. At the committed-capital enterprise value the company trades at 0.9 times its own FY2026/27 EBITDA. At the market price the same forecast implies 8.4 times. Egyptian industrial names have generally changed hands between roughly three and six times EBITDA. The model's multiple is below that band and the market's is above it, which is the same disagreement seen from the other side rather than an independent confirmation of either. It is reported because a cross-check that merely agrees with the primary method has told the reader nothing.

The natural peer is Abu Qir Fertilizers: roughly four times the capacity, on the coast rather than a thousand kilometres inland, and listed on the same exchange. The freight line is the difference that matters — EGP 610.2 million of product freight in FY2024/25, about EGP 1,742 for every exported tonne, is a cost a coastal producer largely does not carry. Abu Qir is also the marketer of KIMA's ammonia exports, for a fee of 12% of the export price, and KIMA held 2.7% of it until it began selling down in the first half of the current year.

13. Method, and what the evidence rests on

Historical financial statements are taken only from the company's own issued documents. Four audited financial years and three reviewed interim periods were obtained from its investor-relations channel and read in full, page by page; the documents are scanned images, so every figure in this study was read from the statement itself and crossfooted against its own subtotals. Where a figure is both disclosed and derivable, the disclosed figure is carried.

The forecast is built from the ground up: product by product, tonnes multiplied by price, and cost per physical unit, with growth projected in both volume and price. Where the statements disclose only a total — the materials line is the one case that matters — the model drops to the finest sourced level available and the gap is flagged in section 6 rather than smoothed over. Debt is split by currency and the dollar tranche is carried at its local-equivalent cost. The asset-conversion cycle is taken from the statements: 26.8 days of receivables, 165.3 days of inventory and 83.2 days of payables, and the balance sheet and cash flow are projected from those day counts rather than plugged. Beta is regressed from the company's own price history against its own local market. Every constructed statement in the accompanying workbook is a live formula model.

What could not be obtained, and what was done about it

The exchange's company page sits behind a bot challenge that refused every automated read, so the share count is taken from note 14 of the audited statements — 1,986,578,999 shares of EGP 5 par — rather than from an exchange page or an aggregator. The central bank's auction pages were likewise unreachable, so treasury-bill yields are carried as secondary market quotes and labelled as such; the sovereign yield used in the cost of capital is separately corroborated by a treasury bond listed at a 23.098% coupon. The company publishes no investor presentation and holds no earnings call, so the volume, price and utilisation data that such material would normally carry was mined instead from the statutory auditor's own tables, which is where this study's production and unit-cost figures come from.

14. Expert appendix

Three practitioners were asked the same question by genuinely different methods. Each shows their working and states, in advance, the observation that would prove them wrong.

Expert 1 — replacement cost and asset backing

Method. Ignore the cash flows entirely and ask what it would cost to rebuild what exists, then subtract the claims against it. The KIMA-2 complex was commissioned in 2019-20 at a cost the accounts still carry: gross fixed assets of EGP 17.02 billion before depreciation of EGP 3.44 billion, with a further EGP 5.65 billion sunk into the new complex. A modern 575 thousand tonne urea line with its own ammonia unit costs roughly US\$550 to US\$700 per annual tonne to build today, which puts replacement cost at US\$316 to US\$402 million, or EGP 15.7 to 20.0 billion at the current rate.

Workings. Take the midpoint at EGP 17.9 billion for the operating plant. Add the construction in progress at cost, EGP 5.65 billion, on the argument that steel in the ground has value to a buyer even unfinished — but haircut it by 40% for the disclosed governance findings and the two-year delay, giving EGP 3.39 billion. Add the listed stakes at market, EGP 1.38 billion, and the investment property at EGP 2.16 billion. That is EGP 24.8 billion of gross asset value. Subtract net debt of EGP 10.03 billion and the result is EGP 14.8 billion of equity, or EGP 7.45 a share — but that is a liquidation-free, buyer-exists number. Applying the 40% discount at which Egyptian state-controlled industrial assets have actually changed hands gives EGP 4.47, and adding back nothing for the idle ferrosilicon furnace gives a range of about EGP 3.10 to EGP 6.40.

Falsification. If a comparable Egyptian nitrogen asset transacts at above US\$700 per annual tonne, or if the state demonstrates it will not tolerate a control discount on a listed subsidiary, this range is too low and the method should be discarded in favour of the cash-flow lens.

Expert 2 — normalised mid-cycle earnings power

Method. Strip out the construction programme, the translation noise and the cyclical peak in fertilizer prices, and ask what this plant earns through a cycle. Take urea at 520 thousand tonnes, the average of the last three audited years, and a mid-cycle export price of US\$400 a tonne — above the 2015-2020 average of roughly US\$250 and well below today's US\$545 — at an exchange rate of 52.

Workings. Revenue: 330 thousand tonnes exported at US\$400 net of the 10% duty gives EGP 6.18 billion, plus 150 thousand subsidised tonnes at EGP 7,500 for EGP 1.13 billion, plus 40 thousand free-market tonnes at EGP 18,720 for EGP 0.75 billion, plus EGP 0.72 billion of nitrates and other, a total of EGP 8.78 billion. Cash cost: gas at 322 thousand tonnes of ammonia and 1,292 cubic metres a tonne at EGP 8.5 gives EGP 3.54 billion; other materials EGP 1.25 billion; wages, services and administration EGP 0.70 billion; freight EGP 0.62 billion. That leaves EGP 2.67 billion of EBITDA and, after EGP 0.89 billion of depreciation and 22.5% tax, about EGP 1.38 billion of net operating profit after tax. Capitalise that at ten times — a mature, single-asset, state-controlled industrial in a high-inflation economy does not deserve more — for an enterprise value of EGP 13.8 billion. Subtract net debt of EGP 10.03 billion, add the non-operating assets of EGP 3.54 billion, and equity is EGP 7.31 billion, or EGP 3.68 a share. At eight times it is EGP 2.28; at twelve times, EGP 5.07. Weighting toward the lower end for the capital programme still to be funded gives EGP 1.05 to EGP 3.55.

Falsification. If the company reports two consecutive years of EBITDA above EGP 4 billion with the capital programme fully funded from operating cash flow, the normalisation is too harsh and the multiple too low.

Expert 3 — the capital programme as an option

Method. Treat the equity as what it actually is on these numbers: an option. The cash-flow value of the enterprise, EGP 4.12 billion in the committed-capital case, is below net debt of EGP 10.03 billion. When the value of the firm sits below the face value of its debt, the equity is not a claim on cash flows but a call option on the assets, and standard discounted cash flow understates it because it ignores the shareholder's right to walk away.

Workings. Take the underlying asset as the enterprise value including the non-operating assets, EGP 7.65 billion. Take the strike as the gross debt of EGP 14.64 billion, and the time to expiry as the seven years to the last dollar maturity in 2035 discounted to an effective five. Volatility on the enterprise is high — the export price alone has moved between US\$380 and US\$730 within eighteen months, and the exchange rate adds to it — so 45% a year is not aggressive. At a 20% risk-free rate in pounds, a Black-Scholes call on those parameters is worth roughly EGP 2.6 to EGP 3.4 billion, or EGP 1.30 to EGP 1.70 a share. Adjusting downward for the fact that the option holder cannot choose when to exercise, and that further capital calls dilute the position, gives a range of EGP 0.00 to EGP 2.60.

Falsification. If the enterprise value rises above the face value of the debt — which requires roughly a US\$120 a tonne sustained improvement in the export price, or the programme being halted — the option framing stops adding anything and the ordinary cash-flow lens should be used instead.

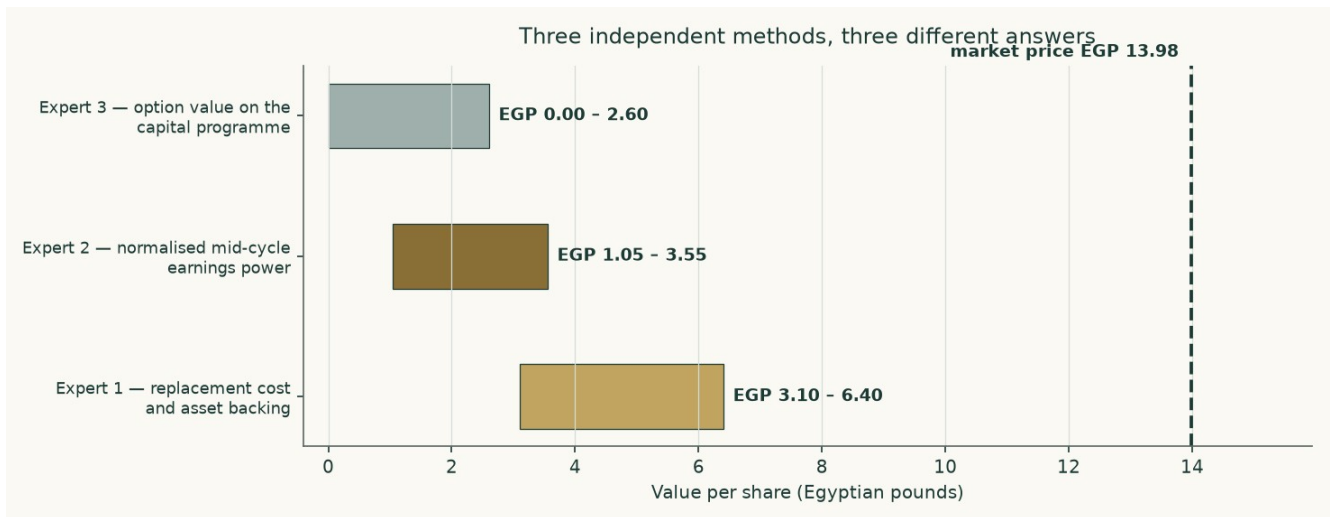


Figure 8. Three methods, three answers, and none of them reaches the traded price. The spread between them is itself informative: the asset lens is the most generous because it credits assets the cash flows do not yet earn on.

Reading the three together. They disagree, and the disagreement is structured rather than random. The asset lens is highest because it values what has been built without asking what it earns. The earnings lens sits in the middle because it credits a normal cycle but not the new plant. The option lens is lowest and widest because it takes the leverage seriously. All three sit below EGP 6.50 and all three sit far below the traded price, which is the only conclusion this study asserts with confidence.

15. The traded price



Figure 9. Five years of the traded price. The shares have roughly quadrupled since 2021 alongside Egypt's devaluations, which is part of the explanation for the gap this study reports: an inflation-hedging bid does not discount cash flows.

It is worth being explicit about what a valuation study can and cannot say here. It can say what the cash flows are worth at a defensible cost of capital, and it can say what rate the traded price implies. It cannot say when, or whether, the two will meet. A thinly floated, state-controlled industrial in a high-inflation economy can trade above its discounted-cash-flow value for a very long time, and has.

16. Disclaimer

Educational analysis. This document is an independent educational analysis. It is not investment advice, not a recommendation, and not an offer or solicitation.

No rating, no target. It contains no rating and no price target. It reports a range of fair values and the reasoning behind them.

Point in time. It reflects information available on 8 August 2026 and the closing price of 6 August 2026. It will age, and it is not updated.

Sources and their limits. Historical figures come from the company's own audited and reviewed statements. Those statements carry qualifications, which section 11 sets out; a reader should weigh them.

Model risk. The forecast depends on judgements that are stated and sensitised. Reasonable people will choose different inputs and reach different answers.

No position. The author holds no position in the subject and receives no compensation from it or from any party with an interest in it.